

**THE MORE OF A THING OFFERED
THE LOWER IS THE PRICE AT WHICH
IT WILL FIND PURCHASERS.**

ALFRED MARSHALL

Strike a deal

In a traditional street market the prices of goods are not rigidly fixed. Many traders expect their customers to haggle, to negotiate a price that they both agree on. Buyers think about how much they want or need the goods, and how much they are prepared to pay. The sellers weigh up how low they are prepared to drop the price to make a sale without losing money on the deal. The interaction between buyer and seller determines the price, the amount that changes hands. This interaction is affected by the quantity of the goods available: the supply, and the number of customers wanting them: the demand. For the sale to work, however, it has to be a competitive market in which there is more than one supplier of goods, and more than one buyer. This gives the buyer the chance to shop around, compare prices, and use them to negotiate a good deal. Sellers compete to offer the lowest prices, but benefit when demand is high enough for buyers to seek out goods that are in scarce supply.

Time it right

The price of goods is closely related to their supply and demand. For example, farmers produce wheat that they can sell to mills to make flour. At harvest time, the wheat is plentiful, and the farmers have more wheat than the mills need. Supply is greater than demand and there is a surplus, so the